The simple truth is that Indians, like honest people everywhere, borrow when they feel confident about the future and their ability to sell their goods and services profitably and repay their loans; they do not borrow just because interest rates are slightly lower.

Equally important, Indian banks, reeling under a mountain of NPAs and struggling to meet capital adequacy norms, were not overenthusiastic about further lending. Demonetization compounded their problems – as their borrowers got hit by its economic impact, and they themselves got buried under the extra load of exchange and counting of notes.

Ignoring both the data and all of the above, Shaktikanta Das announced at the Asian Development Bank (ADB) Conference in Yokohama in May 2017,[48] 'The impact of demonetization was very, very transient and has not spilled over to the current financial year... Post-demonetization, the rates have come down, there is scope for further transmission of rates. I would expect that to happen. We see signs of revival in credit cycle.'

The prevarication and obfuscation of data on demonetization were not confined to India. Unfortunately, this was carried to international audiences too.

To Bring Down Real Estate Prices

Given the high real estate prices in India, this objective was widely welcomed, especially amongst aspiring homebuyers. The Housing and Urban Affairs Minister, Hardeep Singh Puri, claimed success on this score a year after demonetization.

In an interview with *The Times of India* on 9 November 2017[49], he stated that post-demonetization, the real estate sector had seen a drop in prices by up to 5–10 per cent. In addition, many developers had offered freebies during the past one year, in the range of 5–7 per cent. According to the Housing and Urban Affairs Ministry, the effective discount/correction was, therefore, expected to be up to 15 per cent.